

US Communications Infrastructure

US Comms Infrastructure: FCC spectrum moves are net positive for towers



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Last week, the [FCC made an announcement](#) around next-gen communications technology (including emerging space-based Direct-to-Device or D2D offerings). While a large portion of this had been pre-announced and priced into stocks, there is some upside to be realized.

The release did three things: approved the [EchoStar spectrum sales](#) (announced September 2025), created a \$2.4B escrow fund that “can be drawn upon for qualifying claims”, and cleared the path for increased competition from D2D. We perceive this to be net neutral-to-positive for the three tower names.

The spectrum sales approvals come as no surprise—AT&T had deployed ~80% of the spectrum by the end of 2026, largely as software upgrades with limited benefit to towers. While the FCC did increase the buildout requirements above and beyond the previous requirements ([Exhibit 1](#)), we do not anticipate this meaningfully changing AT&T’s near-term behavior. If anything, the company will now be forced to deploy incrementally more in rural areas within the 10-year window (likely positive for towers).

The escrow fund is a new precedent, but is very small relative to the total Dish churn announced across the three TowerCos (~\$3-4B for towers; closer to ~\$7-10B across all vendor types). This is a first-of-its-kind FCC condition intended to pay infrastructure providers with whom Dish has defaulted. Notably by filing a claim, a claimant waives any further legal right to recovery. It is not yet clear which path the TowerCos will pursue—there is almost certainly more upside from continued arbitration, though this may represent a floor.

Finally, the FCC is actively facilitating D2D competition. The FCC has granted technological flexibility for a series of spectrum bands, allowing requirements to be met with either terrestrial or D2D metrics. “This transaction reflects a recognition of converging satellite and terrestrial wireless networks that will shape the future of connectivity for mobile devices.” Instead of traditional coverage metrics, the FCC is imposing 5G-equivalent performance standards around downlink quality, spectral efficiency, and latency. A few weeks ago, the [FCC overhauled their satellite spectrum sharing rulebook](#), again attempting to facilitate D2D competition.

While an initial read of this could be negative for towers, we think it more broadly opens up the possibility of a new wireless entrant in the U.S. In our view, given technology limitations (like not working indoors), it will be impossible for a standalone D2D network to compete with terrestrial wireless. To be competitive, any space-based entrant will need either a terrestrial MVNO or a coverage deployment of low-band spectrum, both of which represent tower upside.

We believe the potential incremental rural buildout and escrow fund to be neutral to mildly positive, but we believe the third FCC move—facilitating D2D competition—should only provide upside to the currently-depressed tower industry.

1. APPROVED SPECTRUM SALES: NEUTRAL-TO-POSITIVE FOR TOWERCOS

The FCC approved AT&T's proposed 600 MHz buildout timeline but imposed significantly stricter conditions than AT&T requested. While AT&T's original proposal included only a 5-year buildout to 75% U.S. population plus 40% per-PEA ("partial economic areas" determined by the FCC, of which there are 416 in the U.S.), the FCC added a critical Year 10 requirement mandating 75% coverage per-PEA on a license-by-license basis, explicitly designed to prevent AT&T from cherry-picking high-density markets while ignoring rural areas. The FCC also imposed automatic acceleration penalties (interim milestone failures can pull the final deadline forward by up to 2 years) and automatic license termination without Commission action if AT&T fails to meet the Year 10/75% per-PEA requirement for any specific license, with AT&T permanently ineligible to reacquire terminated licenses. This represents the FCC's most aggressive buildout enforcement mechanism for secondary market spectrum transactions, reflecting the agency's stated position that "AT&T's proposed buildout commitments are insufficient to ensure robust deployment" and its concern about preventing valuable 600 MHz spectrum from remaining unused or underutilized in rural markets.

EXHIBIT 1: **AT&T 600 MHz Buildout Requirements - Original Proposal vs. FCC's Conditions**

Milestone	AT&T Original Proposal	FCC Final Conditions	Change
Year 3	40% U.S. population (nationwide)	40% U.S. population (nationwide)	No change
Year 5	75% U.S. population (nationwide) + 40% per-PEA	75% U.S. population (nationwide) + 40% per-PEA	No change
Year 10	Not proposed	75% per-PEA	New requirement added
Failure Penalties	Not specified	<u>Year 3 miss:</u> Year 5 accelerates to Year 4 <u>Year 5 miss:</u> Year 10 accelerates to Year 9 <u>Both miss:</u> Year 10 accelerates to Year 8 <u>Year 10 miss:</u> Automatic license termination	New enforcement mechanism

Source: FCC, Bernstein analysis

2. ESCROW FUND: NEUTRAL-TO-POSITIVE FOR TOWERCOS

The \$2.4B escrow is a "precedentially novel" FCC condition that creates a trust fund to pay tower companies, fiber providers, construction firms, and other infrastructure partners who built Dish's abandoned 5G network but claim they weren't paid. EchoStar must deposit the funds within 30 days of closing, with a neutral third-party trustee administering claims in three tiers: **Type A** claims under \$100K are paid as verified; **Type B-1** claims over \$100K for work actually performed (including construction, decommissioning, tower leases, and backhaul) are paid semi-annually on a pro-rata basis; and **Type B-2** claims for lost future revenues from terminated leases are paid after 5 years. The critical trade-off is that filing a claim waives all legal rights to otherwise pursue EchoStar entities in court, forcing tower companies to choose between accepting partial payment from the \$2.4B fund (infrastructure providers claim they're owed \$7-10B total) or betting on winning full judgments later against entities that may claim they received no sale proceeds. According to the FCC memo, Dish Wireless told creditors it "is not a party to the AT&T... agreements, does not own the spectrum licenses being sold, and is not entitled to receive any of the spectrum sale proceeds," creating the core problem that prompted this unprecedented condition. The FCC stated this escrow is "necessary to conclude that the proposed transaction serves the public interest," effectively making vendor disputes part of spectrum transaction review for the first time and setting a controversial precedent that could open similar requirements in future deals.

3. INCREASED D2D COMPETITION: POSITIVE FOR TOWERCOS

For direct-to-device satellite spectrum buildouts, the FCC has replaced traditional terrestrial tower deployment requirements with stringent "space-based" performance metrics that must be met at escalating geographic coverage thresholds: downlink

signal quality of at least -4.6 dB SINR, uplink user throughput of at least 0.5 Mbps, and spectral efficiency of at least 0.32 bits/second/Hz per beam—all measured at 70% service availability—across 30% of each Basic Economic Area (BEA) within 5 years, 50% of each BEA within 7 years (requiring only the first two metrics), and 70% of each BEA within 9 years for all three metrics, with automatic license termination if the final requirement is not met. This represents the FCC's first performance-based buildout framework designed to ensure "5G-comparable connectivity" entirely from satellites without requiring any ground-based cell tower infrastructure, fundamentally diverging from traditional population-coverage metrics by instead mandating geographic area coverage measured through outdoor satellite connectivity. Failure to meet interim milestones accelerates the final deadline by one to two years cumulatively, and the FCC requires detailed technical documentation including link budgets, service availability analysis, spectral efficiency modeling, and electronic coverage maps within 30 days of each milestone, followed by actual performance verification data within 6 months using on-ground testing, network logs, or crowd-sourced measurements.

The satellite buildout requirements represent a fundamental regulatory shift from infrastructure-based to performance-based spectrum obligations, with the FCC effectively declaring that satellites and towers are interchangeable for fulfilling mobile spectrum mandates. Combined with the May 1 spectrum sharing rules that enable 7x satellite capacity increases, this creates some structural headwinds for (already small) rural tower demand over the next 5-10 years as D2D technology matures, though urban/suburban capacity needs will continue to require dense tower networks for the foreseeable future.

INVESTMENT IMPLICATIONS

We rate CCI and T Outperform. We rate AMT and SBAC Market-Perform.

BERNSTEIN TICKER TABLE

			15 May 2026		TTM	Adjusted EPS				Adjusted P/E (x)		
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.							
						Cur	2025A	2026E	2027E	2025A	2026E	2027E
AMT (American Tower)	M	USD	170.63	207.00	(43.2)%	USD	5.40	6.60	7.08	31.6	25.9	24.1
CCI (Crown Castle)	O	USD	86.66	102.00	(38.2)%	USD	1.02	2.33	3.37	85.3	37.3	25.7
SBAC (SBA Comm)	M	USD	199.62	220.00	(39.1)%	USD	11.76	8.92	9.86	17.0	22.4	20.2
T (AT&T)	O	USD	24.03	30.00	(36.8)%	USD	2.12	2.31	2.59	11.3	10.4	9.3
SPX			7,408.50									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

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We value AMT on a Price to NTM Adjusted Funds From Operations (AFFO) per share multiple. Our \$207 price target is based on 18x our 2027E AFFO per share of \$11.49.

Crown Castle Inc

We value CCI on a Price to Adjusted Funds From Operations (AFFO) per share multiple. Our \$102 price target is based on 19.5x our 2027E AFFO per share of \$5.21

SBA Communications Corporation

We value SBAC on a Price to Adjusted Funds From Operations (AFFO) per share multiple. Our \$220 price target is based on 17x our 2027E AFFO per share of \$13.00.

AT&T Inc

Our price target of \$30 for AT&T is based on DCF and reference terminal value assumptions using current trading multiples. The two key assumptions in the model are (1) terminal growth rate of 0.5%, and (2) a WACC of 8%.

RISKS**American Tower Corporation**

We rate AMT shares Market Perform. Upside risks to our price target include 1) Above-expectation growth in AMT's CoreSite enterprise data center segment. Downside risks include 1) Adverse changes to creditworthiness or financial strength of AMT's concentrated customer set, 2) Increase in treasury yields due to inflationary or fiscal pressures

Crown Castle Inc

The main downside risks to our price target/Outperform rating on CCI are 1) Below-market pricing on upcoming carrier renewals, 2) Adverse changes to creditworthiness or financial strength of CCI's concentrated customer set, 3) Increase in treasury yields due to inflationary or fiscal pressures, and 4) delays in streamlining operations after divestiture of small cell and fiber business

SBA Communications Corporation

We rate SBAC shares Market-Perform. Upside risks to our price target include 1) Above-expectation growth driven through SBAC's exposure to emerging markets. Downside risks include 2) Adverse changes to creditworthiness or financial strength of SBAC's concentrated customer set, 3) Increase in treasury yields due to inflationary or fiscal pressures.

AT&T Inc

Downside risks to our target price include: (1) irrational wireless pricing by T-Mobile and/or Cable MVNO providers can lead to intensifying competition; (2) irrational broadband pricing by CableCos and changing consumer perception can deteriorate the market competitiveness of AT&T's fiber offering; (3) fiber-wireless bundling may not result in lower churn and/or incremental wireless share; (4) Capex can increase as AT&T expands its fiber passings and participate in future spectrum acquisition.

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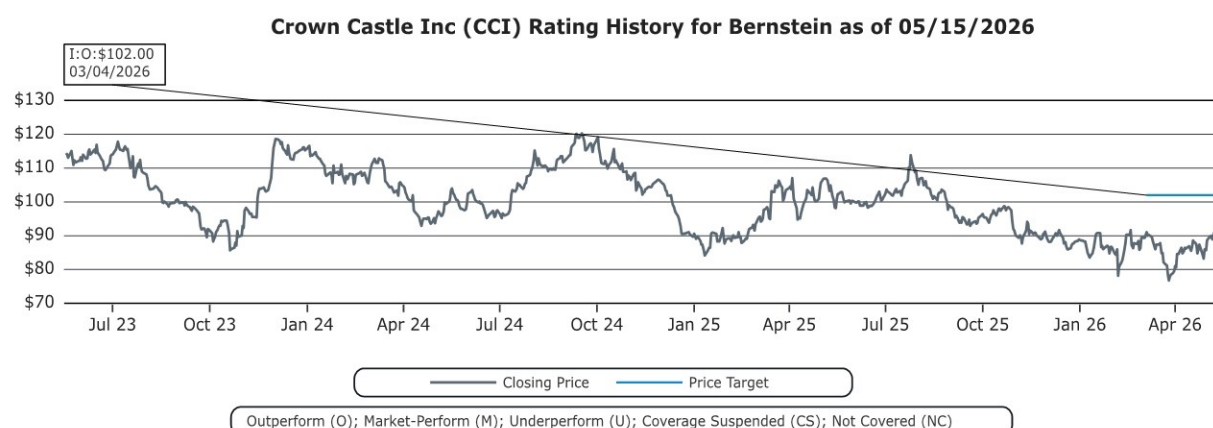
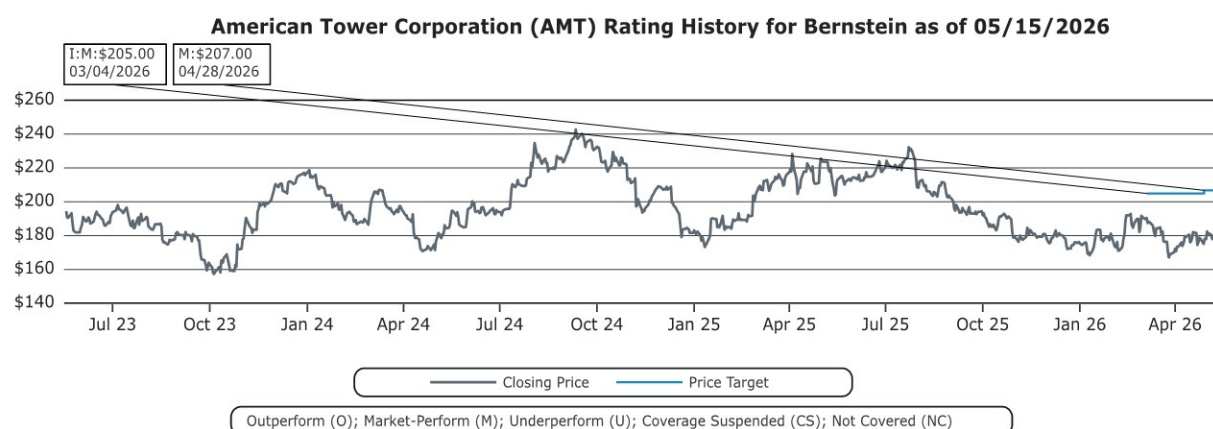
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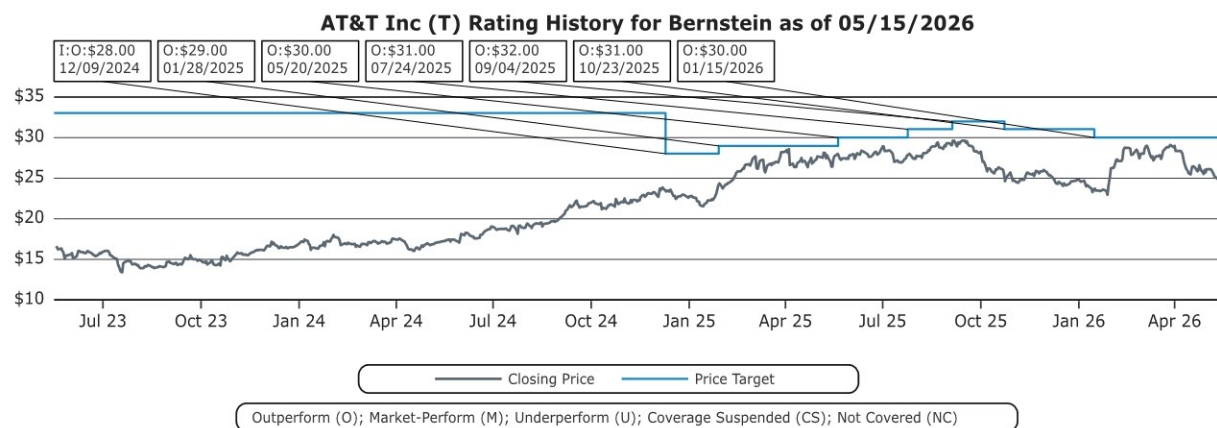
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